

	<i>National General 1968</i>	<i>National Presto Industries 1968</i>
Price, December 31, 1968	44½	38½
Number of shares of common	4,230,000 ^a	1,478,000
Market value of common	\$192,000,000	\$58,000,000
Add market value of 3 issues of warrants	221,000,000	—
Total value of common and warrants	413,000,000	—
Senior issues	121,000,000	—
Total capitalization at market	534,000,000	58,000,000
Market price of common stock adjusted for warrants	98	—
Book value of common	\$31.50	\$26.30
Sales and revenues	\$117,600,000	\$152,200,000
Net income	6,121,000	8,206,000
Earned per share, 1968	\$1.42 (December)	\$5.61
Earned per share, 1963	.96 (September)	1.03
Earned per share, 1958	.48 (September)	.77
Current dividend rate	.20	.80
Dividends since	1964	1945
Ratios:		
Price/earnings	69.0 × ^b	6.9 ×
Price/book value	310.0%	142.0%
Dividend yield	.5%	2.4%
Net/sales	5.5%	5.4%
Earnings/book value	4.5%	21.4%
Current assets/liabilities	1.63 ×	3.40 ×
Working capital/debt	.21 ×	no debt
Growth in per-share earnings		
1968 versus 1963	+48%	+450%
1968 versus 1960	+195%	+630%

^a Assuming conversion of preferred stock.

^b Adjusted for market price of warrants.

These figures appear the more anomalous when comparison is made with those of Presto. One is moved to ask how could Presto possibly be valued at only 6.9 times its current earnings when the multiplier for General was nearly 10 times as great. All the ratios of Presto are quite satisfactory—the growth figure suspiciously so, in fact. By that we mean that the company was undoubtedly benefiting considerably from its war work, and the shareholders should be prepared for some falling off in profits under peacetime conditions. But, on balance, Presto met all the requirements of a sound and reasonably priced investment, while General had all the earmarks of a typical “conglomerate” of the late 1960s vintage, full of corporate gadgets and grandiose gestures, but lacking in substantial values behind the market quotations.

SEQUEL: General continued its diversification policy in 1969, with some increase in its debt. But it took a whopping write-off of millions, chiefly in the value of its investment in the Minnie Pearl Chicken deal. The final